governance and for the authoritarian model of the state itself. Insider rent can elucidate much in this respect as well.

Russia's nascent capitalist class is divided into separate groups which aim to extract short-term incomes in Russia so as to accumulate abroad. The deficiencies of big business, which stems from its comprador nature, prevent true bourgeois class consciousness from coming into being. Fragmented businesses with short-term interests, oriented to the core, simply cannot develop common interests in the long run and a common vision for the future of Russia. As a result, they are unable to come to terms with subordinated classes, and this power relationship therefore excludes genuine democracy.

Since corrupt ties with the state are essential to survival in Russia, state functionaries are involved in the activities of different business groups. As a result, they have two affiliations: formally they belong to the state hierarchy and informally they belong to business groups. The second affiliation is stronger. As a result, Russia's state apparatus is fragmented. The power vacuum was filled by powerful oligarchs in the 1990s. The ensuing anarchy threatened to dismantle the very fabric of society and the state, putting in danger the capitalist order itself. In the 2000s Putin severely persecuted particular oligarchs who challenged his personal power. Others were smart enough to get the message: if they didn't meddle in high politics, they were free to enrich themselves. That is how Putin filled the power vacuum that the increasing authoritarian character of the state created. Using windfall profits from skyrocketing oil revenues, Putin partially restored the functions of the state neglected under Yeltsin.

In foreign policy, Putin followed in the steps of Yeltsin's 'Yes' diplomacy. However, by the late 1990s both the Russian government and the wider public had become disillusioned with the rapprochement with the West. Russia was far from being accepted in the 'family of civilised nations' of the core. It was systematically marginalised by the West. In the course of the Chechen war, elements of the national-liberation movement among the Chechen people were subjugated by the expansion of Islamic extremism. For decades this expansion was strongly supported by the West politically, economically and militarily. In 1999 NATO started so-called 'humanitarian interventions' in Yugoslavia, completely ignoring Russian protests and defeating pro-Russian Serbs.

In the 2000s, a number of 'revolutions' were staged in the former Soviet republics to install anti-Russian governments. Despite Western assurances given to Gorbachev that NATO would not move 'an inch' to the East, the aggressive Western military bloc embraced the former East European allies of the Soviet Union. In addition, the US unilaterally quit the anti-missile treaty and initiated a